CHAPTER 8

MONEY AND BANKING

CHAPTER ESSENCE AT A GLANCE:
Master money functions, money supply aggregates (M1-M4), commercial banking credit creation mechanism, and Central Bank quantitative and qualitative monetary policy tools.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Functions of Money and Barter Inadequacy:** Overcomes barter double coincidence of wants by serving primary functions (medium of exchange, common measure of value) and secondary functions (store of value, standard of deferred payments).

• **Money Supply Classification:** Reserve Bank of India classifies money supply into M1 (Currency with public + Demand deposits + Other deposits with RBI), M2, M3 (Broad money), and M4.

• **Credit Creation by Commercial Banks:** Banks create deposit money multiple times their initial cash deposits based on Legal Reserve Ratio (LRR); Money Multiplier equals 1 divided by LRR.

• **Central Bank Monetary Transmission:** RBI controls credit volume through Quantitative Tools (Repo Rate, Reverse Repo Rate, CRR, SLR, Open Market Operations) and Qualitative Tools (Margin requirements, moral suasion).

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Money Multiplier} = \frac{1}{\text{LRR}} \rightarrow \text{Total Credit Created} = \text{Initial Deposit} \times \frac{1}{\text{LRR}}$$

Commercial Banking Deposit Expansion Model

$$M_1 = \text{CU} + \text{DD} + \text{OD} \rightarrow \text{Narrowest and Most Liquid Money Supply}$$

M1 Monetary Measure of Public Liquidity

$$\text{CRR} = \frac{\text{Cash Reserves at RBI}}{\text{Net Demand and Time Liabilities}} \times 100$$

Cash Reserve Ratio Mandatory Solvency Ratio

$$\text{Total Money Demand} \Longleftrightarrow M^d = M_T^d(Y) + M_S^d(r) = kY + L(r)$$

Transaction and Speculative Liquidity Demand

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Commercial banks create credit, but they do NOT issue currency notes; note issuance is a monopoly function of the Central Bank (RBI).

• **Alert:** To curb inflation, the Central Bank increases Repo Rate and CRR to reduce bank lending capacity; to fight deflation or recession, it decreases them.

• **Alert:** Demand deposits are legal money (chequable deposits), but cheques themselves are credit instruments, not money.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Explain the 'Double Coincidence of Wants' limitation in a barter system and how money solves it. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Barter Limitation:** Double coincidence of wants requires that what one person wishes to sell must be exactly what the other person wishes to buy, making transactions rare and costly. **[1 Mark]**

• **Money Resolution:** By acting as a universal Medium of Exchange, money separates the act of sale from the act of purchase, eliminating the necessity of double coincidence. **[1 Mark]**

2. Explain the process of credit creation by commercial banks with the help of a numerical example. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Assumptions:** Entire banking system operates as a single unit; all payments are transacted via bank cheques; Legal Reserve Ratio (LRR) is 20 percent. **[1 Mark]**

• **Process:** Primary deposit of Rs 1,000 received. Bank keeps 20 percent (Rs 200) as cash reserves and lends Rs 800. The borrower spends Rs 800, which redeposits into the banking system. **[1 Mark]**

• **Successive Rounds:** In Round 2, bank keeps 20 percent of Rs 800 (Rs 160) and lends Rs 640. This chain continues across all rounds until cash reserves equal initial deposit. **[1 Mark]**

• **Total Deposit Created:** Initial Deposit * (1 divided by LRR) = 1,000 * (1 divided by 0.20) = Rs 5,000. Total credit generated is Rs 4,000. **[1 Mark]**

3. Distinguish between Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR). [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Meaning of CRR:** The fraction of net demand and time liabilities that commercial banks must maintain in liquid cash deposits with the Reserve Bank of India. **[1.5 Marks]**

• **Meaning of SLR:** The fraction of net demand and time liabilities that commercial banks must maintain with themselves in specified liquid assets (cash, gold, approved government securities). **[1.5 Marks]**

4. How does the Central Bank use Repo Rate and Open Market Operations to control inflation in the economy? [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Repo Rate Mechanism:** Repo Rate is the interest rate at which the Central Bank lends short term funds to commercial banks against government securities. **[1 Mark]**

• **Controlling Inflation via Repo Rate:** To combat inflation, RBI raises the Repo Rate, making borrowings expensive for banks; banks raise lending rates, discouraging loans and contracting aggregate demand. **[1 Mark]**

• **Open Market Operations (OMO):** Involves outright purchase and sale of government securities by the Central Bank in the open market to regulate liquidity. **[1 Mark]**

• **Controlling Inflation via OMO:** During inflation, RBI sells government securities to commercial banks and the public, absorbing excess liquidity from the financial system and curtailing credit expansion. **[1 Mark]**

5. Define the M1 measure of money supply. Write its exact components. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** M1 is the narrowest and most liquid monetary measure, representing currency and deposits readily usable as medium of exchange. **[1 Mark]**

• **Components:** M1 = CU + DD + OD, where CU = Currency notes and coins held by the public, DD = Net demand deposits with commercial banks, and OD = Other deposits with RBI. **[1 Mark]**

6. Explain 'Lender of the Last Resort' and 'Bank of Issue' functions of the Central Bank. **[Score: 3 Marks]**

Answer & Key Valuation Steps:

• **Bank of Issue:** Central Bank possesses exclusive legal monopoly to issue currency notes (except one-rupee coins and notes issued by Ministry of Finance), ensuring uniform currency and monetary stability. **[1.5 Marks]**

• **Lender of Last Resort:** When commercial banks face a severe liquidity crisis and fail to obtain funds from open markets, the Central Bank provides emergency financial accommodation against approved securities to protect banking solvency. **[1.5 Marks]**